

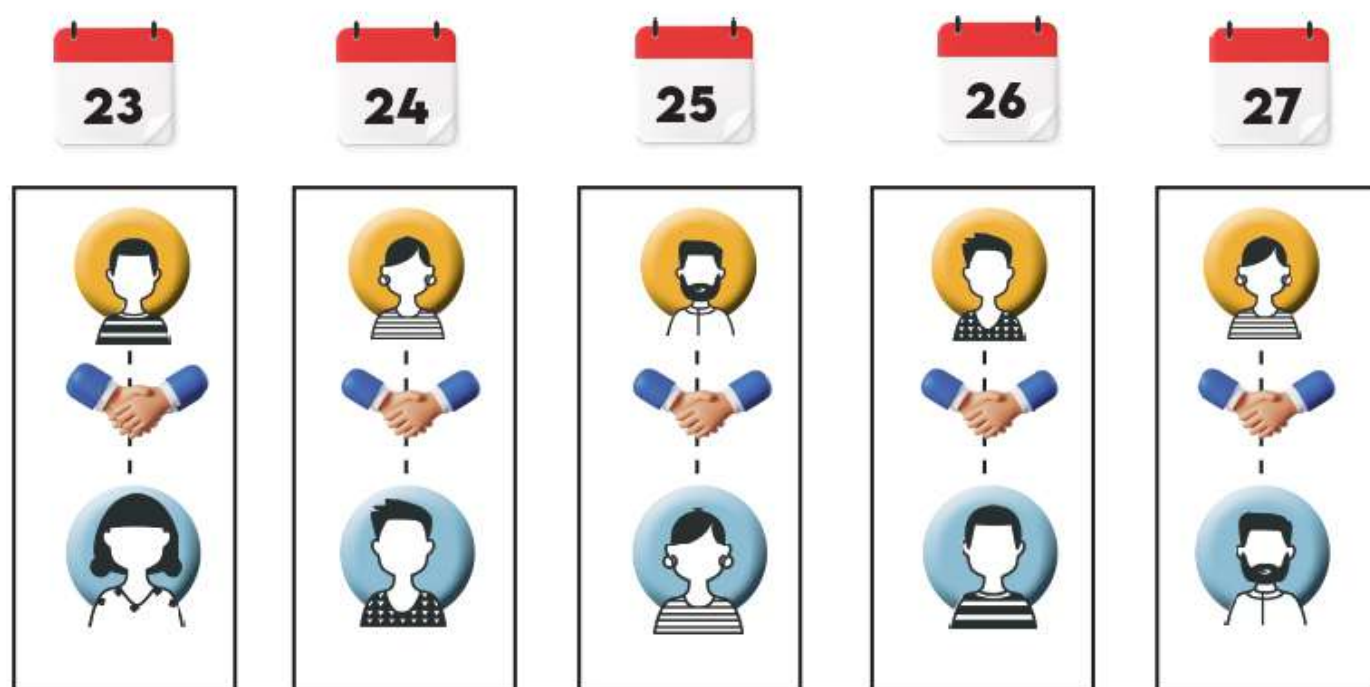
3.2 WHAT HAPPENS ON THE DATE OF SETTLEMENT?

One of the best features of a futures contract is that it is **Marked to Market** daily. Futures contracts account for daily price movements in the market..

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MARKED TO MARKET ON A DAILY BASIS MEANS THAT PROFITS AND LOSSES ARE SETTLED EVERY DAY. EVERY DAY PROFITS AND LOSSES ARE CALCULATED AND CAPITAL IS TRANSFERRED FROM MARGIN OF LOSS MAKING PARTY TO PROFIT MAKING PARTY.



The positions of both buyer and seller - **are settled daily**, allowing you to exit or liquidate at any point. This daily mark to market and exchange acting as counter-party ensures that there is no Counter-party risk in Future agreement. There is **NO RISK OF DEFAULT** involved. Also, the parties are required to maintain margin amount which protects the other party from the risk of default. The daily mark to market accounts for margin calls so if there is a default to occur the contract is simply squared off.

In a futures contract, **NO PHYSICAL TRANSFER** of assets is involved in the settlement. But you would need daily cash flows to meet the mark-to-market needs in case you are incurring losses.

- ☒ NO DEFAULT RISK
- ☒ CASH SETTLEMENT

- ☒ EXIT ANYTIME
- ☒ PHYSICAL TRANSFER